

Financial Accounting — PREVIEW

Course: ATD — Accounting Technicians Diploma | **Level:** Level II

This is a free preview. It shows the exam-paper layout used throughout the full document, plus the introduction section.

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1. Recap: the accounting equation and double entry

The accounting equation — **Assets = Liabilities + Capital** — must always balance, and every transaction is recorded using **double entry**: each transaction has a debit entry and an equal, corresponding credit entry. Debits increase assets and expenses (and decrease liabilities, capital and income); credits increase liabilities, capital and income (and decrease assets and expenses).

Sample of the practice examination (Question One of Five)

Note on format. The full paper includes a complete practice examination laid out the way a real KASNEB ATD paper is laid out — timed, five compulsory 20-mark questions — so you can rehearse the exact exam format before sitting the real thing. This is an original practice paper, **not a reproduction of any actual KASNEB past paper.**

ATD LEVEL II — FINANCIAL ACCOUNTING (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

- (a) State the accounting equation and explain why it must always balance. (6 marks)
- (b) Outline the FOUR common books of original entry and what each records. (12 marks)
- (c) Explain ONE limitation of a trial balance as a check on accuracy. (2 marks)

(Total: 20 marks)

Questions Two, Three, Four and Five — plus the full marking guide with model answers to all five questions — are in the full version.

Unlock the full paper

The complete version includes books of original entry, the trial balance, year-end adjustments (accruals, prepayments, depreciation, bad debts and provisions), preparing the statement of profit or loss and statement of financial position, a fully worked adjustments question, the complete five-question KASNEB-style practice examination with a full marking guide, and an exam technique and revision checklist.

Purchase the full paper to continue.